

# PUBLIC SUBMISSION

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| <b>As of:</b> March 21, 2025        |
| <b>Received:</b> March 14, 2025     |
| <b>Status:</b> [REDACTED]           |
| <b>Tracking No.</b> m89-eqmv-fvz    |
| <b>Comments Due:</b> March 15, 2025 |
| <b>Submission Type:</b> API         |

**Docket:** NSF\_FRDOC\_0001

Recently Posted NSF Rules and Notices.

**Comment On:** NSF\_FRDOC\_0001-3479

Request for Information: Development of an Artificial Intelligence Action Plan

**Document:** NSF\_FRDOC\_0001-DRAFT-1555

Comment on FR Doc # 2025-02305

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## Submitter Information

**Email:** [REDACTED]

**Organization:** Liquidax Capital

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## General Comment

Liquidax appreciates the opportunity to submit the following comments in response to the request for information (RFI) published by the Networking and Information Technology Research and Development (NITRD) National Coordination Office (NCO), National Science Foundation on behalf of the Office of Science and Technology Policy (OSTP) in the Federal Register on February 6, 2025, requesting input from interested parties on priority actions that should be included in the Artificial Intelligence (AI) Action Plan.

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## Attachments

Liquidax - AI Action Plan Comments F -03.13.2025

Liquidax - AI Action Plan Comments Final -03.13.2025



LIQUIDAX CAPITAL

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**BEFORE THE  
NETWORKING AND INFORMATION TECHNOLOGY RESEARCH AND  
DEVELOPMENT NATIONAL COORDINATION OFFICE, NATIONAL  
SCIENCE FOUNDATION**

AI Action Plan  
Mr. Faisal D'Souza  
Technical Coordinator  
NCO and NITRD  
2415 Eisenhower Avenue  
Alexandria, VA 22314

**Re: Request for Information on the Development of an Artificial Intelligence (AI)  
Action Plan**

Dear Mr. D'Souza:

Liquidax appreciates the opportunity to submit the following comments in response to the [request for information](#) (RFI) published by the Networking and Information Technology Research and Development (NITRD) National Coordination Office (NCO), National Science Foundation on behalf of the Office of Science and Technology Policy (OSTP) in the Federal Register on February 6, 2025, requesting input from interested parties on priority actions that should be included in the Artificial Intelligence (AI) Action Plan.

**Introduction to Liquidax**

Founded in 2014, Liquidax is a leading intellectual property (IP) advisor, investor and management firm supporting all types of intellectual property rights including copyrights, patents, trademarks, trade secrets and others. Our partners and clients consist of large, medium and small cap corporations globally, as well as, startups, venture investors, courts and other stakeholders seeking to protect and build systems designed to maximize the value of their IP assets, protect their investments and enable new industries with fairness.

Led by a team of business executives, technologists, researchers and legal experts with decades of experience; Liquidax has worked across numerous industry sectors including technology, media, energy, financial services, publishing, healthcare, manufacturing and software.

## **Building AI Tools that Empower Creators**

We are currently working with leading content creators to build the capability for copyright owners to reclaim the approval and management process of their copyrighted works that are being ingested to train large language models to ultimately be monetized by a small number of dominant AI companies. The growth and innovative advancements being driven by U.S. AI companies has been staggering and has obviously become a major driver for the U.S. economy. In just over a decade, the generative AI market has surpassed \$25 billion in the U.S. and the data center GPU market has surpassed \$125 billion.<sup>1</sup> The potential for additional growth and creative output presented by AI is tremendous and we agree with the objective of the Trump Administration to “enhance America’s AI dominance.” But amid all this growth and market excitement something fundamental has been lost.

The value of these generative AI platforms is not built entirely on their computing power, elegant user interfaces or sophisticated modeling technologies. At the most basic level, they are built on the data that is ingested and used to train them. They have accessed and harnessed this data without permission and almost exclusively without compensation to the American authors, artists, journalists, musicians and other creators to whom it belongs. A national AI Action Plan which does not address

<sup>1</sup> <https://iot-analytics.com/leading-generative-ai-companies/>

this glaring concern (which is the subject of 16 current lawsuits<sup>2</sup>) is incomplete and will result in less innovation and competition for the numerous disruptors like Liquidax attempting to develop market-based solutions to empower U.S. creators and copyright owners.

For instance, in the music industry alone, there are a number of AI technology companies which strive to do things as diverse as identifying songs for sync licenses, determining musical provenance and driving fan engagement. To date, however, there are few, if any, comprehensive efforts dedicated purely to building an efficient and effective rights-owner platform with processes and methods to gain consent for the ingestion of composition and/or master copyrighted content, provide creators control of their assets and establish a compensation mechanism for derivative works created by AI. The development of this platform is achievable despite claims to the contrary by large AI companies. It is possible and the technology is in the initial development phases now.

The Liquidax team is collaborating with existing media and technology companies along with AI experts to continue to build out our intellectual property assets and portfolio required to build an effective platform focused on the needs of the music industry. We are working closely with industry leaders, legal experts, artists and others to construct the framework that respects creators, protects their IP and compensates them for their work. Simultaneously, Liquidax and our partners are ensuring the growth of AI empowers them and ensures new market and revenue opportunities.

We realize the success of efforts from entities like Liquidax will require a change in perspective and legal posture from many companies in the AI industry. It is clear to us that the ~~entirety of the~~ AI and technology sector is committed to a business model built on the belief that the unfettered ingestion of the corpus of the world's creative works is simply "fair use" and they can freely build multi-billion businesses on top of these works that they do not own and did not ask permission for.

However, American AI companies and researchers are best positioned to license American-made IP – the highest quality and most dominant source of IP in the world. In other words, licensing content is not only a matter of fairness or protection of the American economy: It is exactly how America can ensure AI developed here can ensure superiority. In short: High quality training data leads to high quality AI outputs; better AI models result in long-term market strength and adoption.

<sup>2</sup> <https://www.bakerlaw.com/services/artificial-intelligence-ai/case-tracker-artificial-intelligence-copyrights-and-class-actions/>

The AI Action Plan could super-charge American AI development by reiterating the importance of strong copyright protection, the need for AI data training transparency and support for the development of market-based content licensing mechanisms.

## **Respect for Creators Can be Balanced with AI Innovation**

In seeking public comment on the highest priority policy actions that should be in the new AI Action Plan, the Office of Science and Technology policy rightly recognizes that intellectual property is a significant and relevant topic.

The U.S. has long led the world in the development of IP and it drives an overwhelming majority of our economic activity and GDP. The vast trove of creative content that is protected by U.S. copyright law is also the most fundamental building block of any generative AI platform. The fastest chipset, the most sophisticated AI models or the most elegant user interface is meaningless unless they are built and trained on the best datasets. To date, this has occurred largely by dominant AI companies simply ingesting all the data they can access without permission and, almost exclusively, without compensation to the creators and copyright owners of that data.

When the Administration speaks about the relevance of IP in the formation of the AI Action Plan, this must be the primary issue it confronts.

The United States has long been a leader in technological innovation, and AI will be no exception. To maintain this leadership and foster economic growth, it is essential that U.S. law supports the responsible development and deployment of AI. However, this must be balanced with a commitment to transparency regarding the use of copyrighted material in training large language models (LLMs) and a market-based framework that ensures fair compensation for creators.

These objectives are not mutually exclusive. **The Trump Administration's AI Action Plan will unleash a wave of additional innovation that will lead to market-based data training transparency and content licensing solutions IF it adheres to several core policy and legal tenets:**

### **1. Promoting AI Innovation While Ensuring Transparency**

AI has the potential to drive significant economic and societal benefits, from improving productivity to enhancing access to knowledge. However, for AI to grow sustainably, there must be transparency regarding the data used in training these models—particularly when that data includes copyrighted material. The U.S. should establish clear statutory requirements for the disclosure of training data sources. This will help ensure that AI development respects intellectual property rights while fostering trust in AI systems.

### **2. Support a Market-Based Licensing Framework**

A market-based approach to licensing copyrighted content for AI training is essential to protecting the rights of creators while allowing AI development to proceed responsibly. Creators—whether authors, musicians, artists, or other rights holders—deserve to be compensated when their works are used to train AI. Establishing clear creation and licensing frameworks for copyrights of recordings and/or text along with copyright derivatives will encourage investment in creative industries while providing AI developers with a lawful and structured way to access necessary training data.

### **3. U.S. Copyright Law Already Protects Creators**

Existing U.S. copyright law provides a robust framework to protect creators from unauthorized use of their works. U.S. law should not support AI platforms' claim of "fair use" as a blanket justification for training models on copyrighted materials without permission or compensation. Fair use was never intended to permit mass ingestion of copyrighted works for commercial AI training, particularly when such use could dramatically impact important industries by others using AI as a substitute tool to create content undermining the markets for original creative content.

## **The Market Will Develop Effective Solutions for Creators and AI Developers**

Beyond setting out a clear policy and legal framework that prioritizes transparency and market-based creation, protection, management and licensing solutions for the millions of American content creators, the Administration's AI Action Plan should empower smaller technology companies to also enter the market and develop new tools and solutions.

By promoting a market-based approach to licensing copyrighted content for AI training, the Trump Administration will further incentivize numerous new entrants and attract significant new investment. In addition to the work being done by companies like Liquidax, there are dozens of other disruptive companies working on solutions ranging from licensing datasets to monitoring AI output for infringement and building effective watermarking solutions. This innovation will lead to better more efficient solutions for America's IP owners which will only build the confidence and value of generative AI platforms when they work together with companies like Liquidax and its partners.

## **Conclusion**

The U.S. should continue to promote AI growth but must do so in a way that upholds intellectual property rights, including, and in this case specifically, copyrights of all types. Ensuring transparency in AI training data, supporting a creation, management and licensing framework, and rejecting broad fair use claims will help maintain and ensure a balanced approach that benefits both AI innovation and the creative economy without putting companies and artists out of business. By reinforcing these principles, the U.S. can lead the way in AI development while respecting and protecting the rights of content creators.

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